Orion (271560 KS)

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Russia drives earnings growth

BUY (M)

Target price	W172,000 (M)
Previous target price	W172,000
Current price (Oct 20)	W112,100
Upside potential	53%

Market cap (Wbn)	4,431
Shares outstanding	39,528,788
Avg daily T/O (2M, Wbn)	13
Avg daily volume (2M, shrs)	106,005
52-week high/low (won)	146,000 / 99,300
Foreign ownership (%)	38.81%
Dividend yield (%)	3.31%
Major shareholders	Orion Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	0.5	(11.7)	11.4
Relative	24.8	3.6	(23.4)
Abs (US$)	4.7	(1.7)	19.1

3Q26 earnings update: in line with market expectations

We estimate Orion's 3Q26 consolidated sales at W915.7bn (+10.5% YoY) and OP at W148.7bn (+7.9% YoY, OPM 16.2%), in line with consensus. China and Russia drove top-line growth, but profit growth likely lagged sales growth due to cost and SG&A pressures in Korea and Vietnam.

In Korea, sales increased, supported by new products and stronger sales through growth channels such as e-commerce and Daiso, but OP likely fell 4.5% due to higher raw material costs and rental expenses. In China, sales through snack store channels maintained 50% growth in September, helping overall sales rise 13.8%. However, OP likely grew only 9.3% due to new store entry costs and higher sales incentives. In Vietnam, profit likely remained flat YoY despite sales growth, weighed down by energy, packaging, and logistics costs. Russia, meanwhile, likely led the earnings improvement, with OP estimated at W17.3bn (+47.9% YoY), as high utilization and lower raw material prices translated into improved profitability.

Focus on Russian supply expansion, China margin improvement in 2027

Russia and China will likely drive profit growth in 2027. In Russia, full-year reflection of the new pie line, which began operating in Sep 2026 and expanded production from existing facilities should support growth. With existing plant utilization exceeding 100%, additional supply is highly likely to lead to sales volume growth. The new Tver plant building will likely expand the mid- to long-term growth foundation after its completion. In China, sales growth centered on snack shops and e-commerce continues, while easing initial store entry cost burdens and managing sales incentives will likely be the keys to improving profitability.

Cost pressure persists in Korea and Vietnam, but Orion is responding through integrated procurement of raw materials and supplier diversification. With the recent share price correction easing the valuation burden, expanding supply in Russia and improving profitability in China underpin the stock's investment appeal. Going forward, whether earnings growth translates into shareholder returns including dividend expansion will likely be a key variable for a rerating.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	916	10.5	2.5	933	-1.8
OP	149	7.9	12.2	155	-3.9
Pre-tax net profit	157	8.9	21.8	161	-2.6
Net profit, CI	111	8.1	28.8	114	-2.8
OPM (%)	16.2	-0.4 %pt	+1.4 %pt	16.6	-0.4 %pt
NPM (%)	12.1	-0.3 %pt	+2.5 %pt	12.2	-0.1 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,104	3,332	3,741	4,082
OP	544	558	623	722
Net profit, CI	525	383	491	573
P/E (x)	7.2	11.3	9.0	7.7
P/B (x)	1.1	1.1	1.1	1.0
EV/EBITDA (x)	4.0	4.3	3.8	2.9
ROE (%)	16.6	10.5	12.3	13.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Orion: earnings trend and forecasts (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**801.8**	**777.2**	**828.9**	**924.6**	**930.4**	**893.6**	**915.7**	**1,001.0**	**3,332.4**	**3,740.6**	**4,082.4**
Korea	282.4	291.3	282.6	289.5	283.4	300.0	296.4	295.3	1,145.8	1,175.1	1,190.9
China	328.2	304.8	337.3	350.3	409.7	378.0	384.1	374.8	1,320.7	1,546.6	1,711.3
Vietnam	128.3	102.6	120.5	186.7	151.3	116.4	130.6	195.2	538.1	593.5	633.4
Russia	67.2	80.8	89.6	101.9	90.5	105.0	109.2	139.5	339.4	444.2	562.6
Other & consol. adj	-4.3	-2.4	-1.2	-3.7	-4.5	-5.7	-4.6	-3.9	-11.6	-18.7	-15.7
YoY (%)	***7.1%***	***8.1%***	***7.0%***	***7.3%***	***16.0%***	***15.0%***	***10.5%***	***8.3%***	***7.3%***	***12.2%***	***9.1%***
Korea	*4.0%*	*4.9%*	*4.3%*	*4.5%*	*0.4%*	*3.0%*	*4.9%*	*2.0%*	*4.4%*	*2.5%*	*1.3%*
China	*7.1%*	*3.0%*	*4.7%*	*1.4%*	*24.8%*	*24.0%*	*13.9%*	*7.0%*	*4.0%*	*17.1%*	*10.6%*
Vietnam	*8.6%*	*4.3%*	*-1.0%*	*5.9%*	*17.9%*	*13.4%*	*8.3%*	*4.6%*	*4.6%*	*10.3%*	*6.7%*
Russia	*33.0%*	*64.6%*	*44.7%*	*47.7%*	*34.7%*	*29.9%*	*21.9%*	*37.0%*	*47.3%*	*30.9%*	*26.6%*
% in sales											
Korea	35.2%	37.5%	34.1%	31.3%	30.5%	33.6%	32.4%	29.5%	34.4%	31.4%	29.2%
China	40.9%	39.2%	40.7%	37.9%	44.0%	42.3%	41.9%	37.4%	39.6%	41.3%	41.9%
Vietnam	16.0%	13.2%	14.5%	20.2%	16.3%	13.0%	14.3%	19.5%	16.1%	15.9%	15.5%
Russia	8.4%	10.4%	10.8%	11.0%	9.7%	11.7%	11.9%	13.9%	10.2%	11.9%	13.8%
OP	**131.4**	**121.5**	**137.9**	**167.6**	**165.5**	**132.6**	**148.7**	**176.1**	**558.3**	**622.9**	**722.1**
YoY (%)	*5.0%*	*-0.2%*	*0.6%*	*4.9%*	*25.9%*	*9.2%*	*7.9%*	*5.1%*	*2.7%*	*11.6%*	*15.9%*
OPM (%)	16.4%	15.6%	16.6%	18.1%	17.8%	14.8%	16.2%	17.6%	16.8%	16.7%	17.7%

Source: Yuanta Securities

Orion: peer valuation (Wbn, $mn)

		Orion	Lotte Wellfood	Mondelez (MDLZ)	PepsiCo (PEP)	Hershey (HSY)
Market cap		**4,431**	1,127	81	182	34
Sales	2025	**3,332**	4,216	39	94	12
	2026E	**3,741**	4,495	40	99	12
	2027E	**4,082**	4,656	41	102	13
	2028E	**4,349**	4,847	43	105	13
OP	2025	**558**	110	4	11	1
	2026E	**623**	221	5	15	3
	2027E	**722**	258	6	16	3
	2028E	**791**	297	6	17	3
OPM (%)	2025	**16.8%**	2.6%	9.2%	12.2%	12.3%
	2026E	**16.7%**	4.9%	13.3%	15.6%	20.5%
	2027E	**17.7%**	5.5%	14.1%	15.5%	22.8%
	2028E	**18.2%**	6.1%	14.5%	15.8%	23.2%
Net profit, CI	2025	**383**	72	2	8	1
	2026E	**491**	158	4	11	2
	2027E	**573**	189	4	12	2
	2028E	**625**	214	4	12	2
P/E (x)	2025	**10.9**	14.8	19.4	28.7	44.2
	2026E	**9.0**	7.2	20.7	15.9	19.5
	2027E	**7.7**	6.0	19.1	15.6	16.9
	2028E	**7.1**	5.3	18.0	14.8	16.1

Note: CI = controlling interest, market cap as of Oct 20, 2026
Source: Bloomberg, Yuanta Securities

Orion (271560 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,104**	**3,332**	**3,741**	**4,082**	**4,349**
Cost of sales	1,908	2,109	2,362	2,519	2,661
Gross profit	1,196	1,223	1,379	1,563	1,688
SG&A	653	665	756	841	897
Operating profit	**544**	**558**	**623**	**722**	**791**
EBITDA	704	723	775	862	920
Non-operating profit	149	-12	53	65	79
Forex gains	3	-1	-2	-1	-1
Net interest income	30	24	33	44	58
Equity-method gains	-5	-27	29	29	29
Other	121	-7	-7	-7	-7
Net prof before income tax	692	547	676	787	870
Income tax	159	156	174	203	232
Net profit from continuing ops	533	391	501	584	638
Net profit from discontinued ops	0	0	0	0	0
Net profit	533	391	501	584	638
NP for controlling interest	**525**	**383**	**491**	**573**	**625**
Total comprehensive income	675	460	570	653	707
Total comprehensive income, CI	658	451	559	641	693

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,647**	**1,867**	**2,241**	**2,731**	**3,239**
Cash & cash equivalents	451	311	497	829	1,213
Accounts receivables & other	190	198	221	241	257
Inventory	317	321	361	394	419
Non-current assets	2,661	2,732	2,802	2,871	2,937
Tangible assets	1,702	1,716	1,697	1,691	1,700
Investment in affiliates	728	723	811	885	943
Other investment assets	9	34	37	40	43
Total assets	**4,308**	**4,599**	**5,043**	**5,602**	**6,176**
Current liabilities	538	498	559	610	650
Accounts payable & other	383	368	413	451	481
ST financial liabilities	1	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	197	188	209	226	239
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**734**	**686**	**768**	**836**	**889**
Equity, controlling interest	3,471	3,809	4,161	4,641	5,149
Paid-in capital	20	20	20	20	20
Capital surplus	598	598	598	598	598
Retained earnings	2,033	2,317	2,601	3,011	3,450
Equity, non-controlling interest	103	104	114	125	138
Total equity	**3,574**	**3,912**	**4,275**	**4,766**	**5,287**
Net debt	**-1,074**	**-1,281**	**-1,588**	**-2,021**	**-2,484**
Total debt	40	36	38	39	40

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**652**	**537**	**552**	**629**	**680**
Net profit	533	391	501	584	638
Depreciation & amortization	157	162	149	137	127
Forex gains	-3	-2	2	1	1
Affiliate investment gains	5	27	-29	-29	-29
Increase in net working cap	69	-70	-98	-91	-82
Other	-109	29	26	26	26
Investing cash flow	**-505**	**-564**	**-728**	**-695**	**-658**
Investment	-552	-32	-92	-77	-60
Increase in tangible assets	-107	-123	-130	-132	-135
Decrease in tangible assets	2	1	0	0	0
Other	152	-410	-506	-486	-463
Financing cash flow	**-70**	**-121**	**-217**	**-171**	**-196**
ST financial liabilities	0	0	2	1	1
Debenture/LT financial liabilities	11	-4	0	0	0
Equity	0	0	0	0	0
Cash dividend	-56	-106	-208	-162	-186
Other cash flow	-25	-11	-11	-11	-11
Consolidation adj and other	9	8	578	568	558
Increase in cash & equivalents	**85**	**-140**	**186**	**331**	**384**
Beginning cash & equivalents	366	451	311	497	829
Ending cash & equivalents	451	311	497	829	1,213
NOPLAT	544	558	**623**	**722**	**791**
FCF	**545**	**415**	**422**	**497**	**545**

Valuation

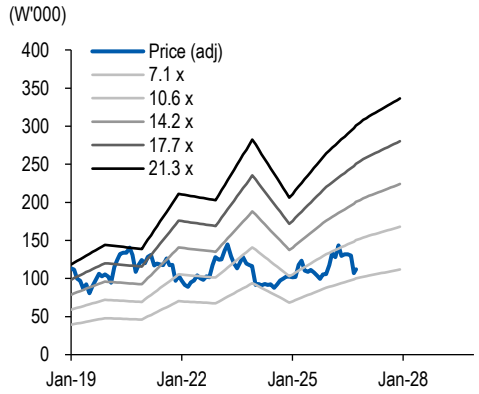
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	13,269	9,680	12,422	14,484	15,805
BPS (won)	87,815	96,352	105,270	117,399	130,249
EBITDA/shr (won)	17,807	18,284	19,597	21,807	23,276
SPS (won)	78,519	84,289	94,623	103,277	110,021
DPS (won)	2,500	3,500	3,950	4,400	5,000
P/E (x)	**7.2**	**11.3**	**9.0**	**7.7**	**7.1**
P/B (x)	**1.1**	**1.1**	**1.1**	**1.0**	**0.9**
EV/EBITDA (x)	**4.0**	**4.3**	**3.8**	**2.9**	**2.3**
P/S (x)	**1.2**	**1.3**	**1.2**	**1.1**	**1.0**

Key financial data

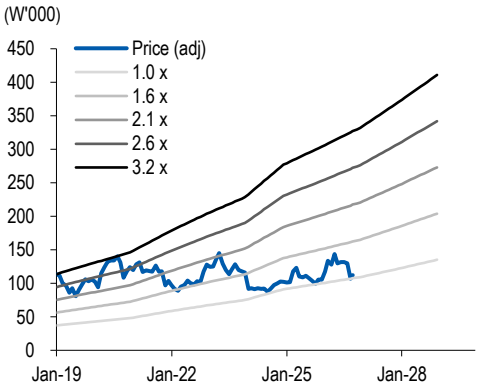
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**6.6**	**7.3**	**12.2**	**9.1**	**6.5**
Operating profit (%YoY)	**10.4**	**2.7**	**11.6**	**15.9**	**9.5**
Net profit, CI (%YoY)	**39.3**	**-27.0**	**28.3**	**16.6**	**9.1**
Gross margin (%)	38.5	36.7	36.9	38.3	38.8
Operating margin (%)	**17.5**	**16.8**	**16.7**	**17.7**	**18.2**
Net margin, CI (%)	16.9	11.5	13.1	14.0	14.4
EBITDA margin (%)	22.7	21.7	20.7	21.1	21.2
ROIC (%)	23.2	21.8	25.9	29.8	31.9
ROA (%)	13.4	8.6	10.2	10.8	10.6
ROE (%)	**16.6**	**10.5**	**12.3**	**13.0**	**12.8**
Debt-to-equity (%)	20.5	17.5	18.0	17.5	16.8
Net debt-to-equity (%)	-30.9	-33.6	-38.2	-43.5	-48.2
OP/financing cost (x)	536.2	37.6	43.2	48.0	50.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

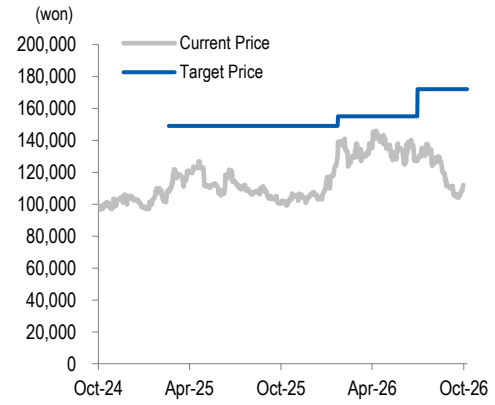
P/E band chart



P/B band chart



Orion (271560 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/21	BUY	172,000	1 yr		
2026/07/21	BUY	172,000	1 yr		
2026/02/12	BUY	155,000	1 yr	-13.55	-5.81
2025/03/11	BUY	149,000	1 yr	-25.64	-12.75

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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